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EQUITY DUE DILIGENCE REPORT

Britannia Industries Limited

NSE: BRITANNIA | BSE: 500825 | FMCG — Consumer Staples

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Market Data as of: Week ending 27 March 2026

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1. Executive Summary

This report presents a comprehensive equity due diligence assessment of Britannia Industries Limited (BIL) based on the latest available market data as of 29 March 2026. The analysis incorporates the company's most recent quarterly results (Q3 FY26, ending December 2025), live stock market data, analyst estimates, and updated strategic developments including a new Managing Director, a major management rejig, and the rollout of the Bel SA cheese joint venture.

Britannia Industries remains India's dominant biscuit manufacturer with a 34% market share in organised biscuits, a market capitalisation of approximately ₹1.32–1.36 lakh crore, and a current share price of approximately ₹5,500 (NSE: BRITANNIA, as of 27 March 2026). Q3 FY26 results were broadly positive: consolidated net profit rose 16.9% year-on-year to ₹680 crore, revenue grew 9.5% YoY to ₹4,885 crore, and gross margins expanded a remarkable 450 basis points to 43.3%. However, the stock trades at a demanding P/E of approximately 55–61x, which many analysts flag as stretched relative to single-digit to low double-digit earnings growth.

The company is navigating a pivotal leadership transition. Rakshit Hargave, a seasoned FMCG executive formerly of Birla Opus and Beiersdorf (NIVEA), assumed charge as MD & CEO effective 15 December 2025. A broader C-suite rejig — including new appointments in Sales, Marketing, and Dairy — signals Britannia's intent to accelerate execution across brand building, distribution expansion, and category diversification. Analyst consensus is moderately bullish, with 25 analysts recommending Buy against 2 Sell ratings, and an average 12-month price target of ₹6,766.

Key risks include stretched valuations, commodity price sensitivity, intensifying competition (particularly from ITC's Sunfeast), and execution uncertainty in new categories such as dairy and cheese. This report provides a detailed, data-driven view of the company's financial trajectory, competitive positioning, market sentiment, and investment outlook as of Q1 2026.

2. Live Market Snapshot (as of 27–29 March 2026)

The following table captures Britannia's key market metrics derived from live exchange data and brokerage sources as of the final trading week of March 2026. The stock closed the week ending 27 March 2026 at ₹5,500.40, declining 2.06% week-on-week, underperforming the Sensex which fell 1.46% over the same period. The underperformance followed a MarketsMOJO downgrade to Sell on 24 March 2026, citing deteriorating technical indicators and expensive valuation metrics.

Market Metric	Value (as of 27–29 Mar 2026)
Current Share Price (NSE)	₹5,500 – ₹5,537 (week close range)
52-Week High	₹6,336
52-Week Low	₹4,605.05
Market Capitalisation	₹1.32 – 1.36 lakh crore (~₹1.36T)
P/E Ratio (TTM)	55.9–61x (range across sources)
P/B Ratio	30.18–41.61x
EPS (TTM)	₹90.45–100.26
EV/CE Ratio	26.6x (elevated vs. peers)
Promoter Holding (Dec 2025)	50.6% (zero pledging)
FII Holding	14.88% (declining trend)
DII / Mutual Fund Holding	10.59% (increasing trend)
1-Year Return	+16.44% (vs. Nifty FMCG +3.33%)
6-Month Return	-5.2%
Next Earnings Date	1 May 2026 (Q4 FY26)
Consensus Analyst Rating	BUY (25 Buy, 2 Sell)
Average 12M Price Target	₹6,766 (High: ₹8,250 Low: ₹5,250)
Nomura Target (post Q3)	₹7,275
Motilal Oswal Target	₹7,150

Technical picture: The stock remains below its 50-day and 200-day moving averages as of late March 2026. Weekly and monthly MACD and Bollinger Band readings are bearish or mildly bearish, though the daily setup turned mildly bullish mid-week before facing fresh selling pressure on Friday. Some chartists on TradingView note a forming rounding bottom on the weekly chart that could signal a recovery if broader FMCG sentiment improves. The benchmark Nifty FMCG index added 1.4% in the past month and stands at ~54,863 at end-March.

3. Company Overview & Governance

3.1 Corporate Profile

Britannia Industries Limited, founded in 1892 and incorporated as a public limited company in 1918, is one of India's oldest and largest fast-moving consumer goods (FMCG) companies. Headquartered operationally in Bengaluru (Whitefield) and registered in Kolkata, it is the food-processing arm of the Wadia Group — one of India's oldest conglomerates, with interests spanning FMCG, real estate, textiles, aerospace, and chemicals.

The company's product scope spans bakery products (biscuits, bread, cakes, rusk, croissants, wafers) and dairy (milk, cheese, yoghurt, butter, flavoured beverages). It sells under over 15 brand names and exports to approximately 80 countries, making it a genuine Indian multinational consumer goods company.

Parameter	Details
Listed Exchanges	NSE (BRITANNIA), BSE (500825)
Registered Office	Kolkata, West Bengal
Operational HQ	Prestige Shantiniketan, Whitefield, Bengaluru
Chairman	Nusli N. Wadia (Wadia Group)
MD & CEO (from Dec 2025)	Rakshit Hargave
CFO	N. Venkataraman (outgoing MD)
Year Founded / Incorporated	1892 / 1918
Employees (Mar 2026)	~23,730
Global Presence	~80 countries
Wadia Group Stake	50.6% (Promoter holding, zero pledged)

3.2 Leadership Transition: Key Development

A critical recent development is the appointment of Rakshit Hargave as MD & CEO from 15 December 2025, replacing long-serving executive N. Venkataraman. Hargave brings deep consumer brand experience — as former CEO of Birla Opus (paints), head of Beiersdorf's NIVEA business across India, Africa, ASEAN and ANZ, and COO at Lakme Lever (HUL). He also played a foundational role in Domino's 30-minute delivery model through Jubilant FoodWorks.

Simultaneously, Britannia executed a broad C-suite rejig effective December 2025 – February 2026: Abhishek Sinha became Chief Sales Transformation Officer, Subhashis Basu was elevated to Chief Business Officer (Dairy), and Puneet Das was appointed Chief Marketing Officer. Brokerages see this reshuffle as a positive catalyst, particularly for brand building and distribution acceleration.

4. Financial Performance: FY25 to Q3 FY26

4.1 Full Year FY2025 Performance

For the full fiscal year FY2025 (April 2024 – March 2025), Britannia reported consolidated revenues of ₹17,943 crore, representing 7% year-on-year growth. Net profit for FY25 stood at ₹2,179 crore, up ~2% YoY. The relatively muted profit growth compared to revenue growth reflected commodity cost pressures through the year. The board declared a total annual dividend of ₹100 per share for FY25, a 25% increase from FY24's ₹80, reflecting strong underlying cash generation.

4.2 Latest Quarter: Q3 FY26 (Oct–Dec 2025) — Strong Rebound

Q3 FY26 marks Britannia's strongest quarterly performance in recent memory. Consolidated net profit rose 16.9% YoY to ₹680 crore (vs. ₹582 crore in Q3 FY25), exceeding analyst estimates. Revenue reached an all-time quarterly high of ₹4,885–4,970 crore (up 9.5% YoY). EBITDA grew 15.6% YoY to ₹977 crore, with EBITDA margin expanding to 19.5% from 18.4% a year earlier. Gross margins expanded a notable 450 basis points YoY to 43.3%, driven by stable commodity prices and efficient cost management.

October 2025 was impacted by GST-led trade disruptions (following rate rationalisation on biscuits), but demand fully normalised in November–December, with biscuit sales growing approximately 12% in those two months. Management attributed the recovery to sustained media investment, portfolio innovations including '50-50 Dipped' and 'Veg' cake variants, and the launch of 'Doodh' Marie Gold.

Financial Metric	Q3 FY25	Q2 FY26	Q3 FY26	YoY Change
Revenue (crore)	₹4,463	₹4,752	₹4,885	+9.5%
Net Profit (crore)	₹582	₹654	₹680	+16.9%
EBITDA (crore)	₹845	~₹940	₹977	+15.6%
EBITDA Margin	18.4%	~19.3%	19.5%	+110 bps
Gross Margin	~38.8%	~41.5%	43.3%	+450 bps
Profit Before Tax (crore)	₹778	₹884	₹919	+18.1%
Raw Material Cost (crore)	₹2,629	~₹2,700	₹2,663	+1.3% YoY

4.3 Nine-Month FY26 Scorecard (Apr–Dec 2025)

For the nine months ended 31 December 2025, Britannia's consolidated revenue reached ₹14,172 crore (up 7.7% YoY) and net profit was ₹1,857 crore (up 14.7% YoY). Profit growth meaningfully outpaced revenue growth, evidence of structural margin expansion. The company is on track for its next quarterly earnings release on 1 May 2026 (Q4 FY26), with analysts estimating Q4 EPS of approximately ₹29.04 per share.

4.4 Balance Sheet Highlights

As of March 2025, shareholder funds stood at ₹4,355.72 crore, backed by reserves and surplus of ₹4,331.63 crore. Long-term debt declined significantly to ₹712.94 crore from ₹904.72 crore the

previous year, indicating active deleveraging. Return on Capital Employed (ROCE) stands at an industry-leading 59–60%, reflecting Britannia's exceptional asset efficiency and pricing power.

5. Competitive Landscape

5.1 Biscuit Market Share (Organised Segment)

Company	Est. Market Share	Key Brands	Positioning
Britannia Industries	~34%	Good Day, Marie Gold, Tiger, NutriChoice	Quality + Scale Leader
Parle Products	~30%	Parle-G, Monaco, Krackjack	Mass-market Price Leader
ITC (Sunfeast)	~14%	Sunfeast Marie, Dark Fantasy, Wowzers	Conglomerate-backed Challenger
Mondelez India	~6%	Oreo, Bournvita	Premium / Chocolate
Others / Regional	~16%	Various	Fragmented

5.2 Active Competitive Developments

The competitive battle between Britannia and ITC has escalated into legal terrain. In early 2026, ITC formally accused Britannia of trade dress infringement in the packaging of its cheese-flavoured biscuit, claiming that the black-orange-yellow packaging of its Sunfeast Wowzers product constitutes an original copyright-protected artistic work. The case underlines how aggressively ITC is contesting Britannia's positioning in premium biscuit segments.

On pricing dynamics: following GST rate rationalisation on biscuits, some national brands remained at ₹4.5 and ₹9 price points rather than reverting to ₹5/₹10. Nomura estimates that price parity will normalise across players by Q4 FY26, which should accelerate volume growth to high single digits and reduce competitive distortion. Britannia's Low-Unit-Pack (LUP) portfolio, constituting 60–65% of revenues, is especially sensitive to these dynamics.

In dairy, the primary competitive pressure comes from Amul (GCMMF) and Nestlé India, who dominate cheese and value-added dairy. The Bel SA JV, backed by the French group's global cheese expertise, is designed to give Britannia a credible technological foundation in this category.

6. Valuation Analysis

Britannia's current valuation is the subject of considerable debate among analysts. While the company's quality credentials (ROCE ~60%, zero promoter pledging, brand strength, market leadership) justify a premium to FMCG peers, the current P/E of 55–61x appears stretched given earnings growth in the low double digits.

Valuation Metric	Current Level	Commentary
P/E Ratio (TTM)	55.9–61x	High vs. peer FMCG avg of 40–45x
P/B Ratio	30–42x	Elevated; reflects capital-light model
EV/CE Ratio	26.6x	Flagged as expensive by MarketsMOJO
PEG Ratio	~7.99x	Well above ideal 1–2x range
Dividend Yield (FY25)	~1.4%	Based on ₹75 div at ~₹5,500 price
Analyst Avg. Target	₹6,766	~23% upside from ₹5,500
Nomura Target	₹7,275	~32% upside; Buy rating
Motilal Oswal Target	₹7,150	~30% upside; Buy, 12% rev CAGR FY26–28

The central bull case rests on the expectation that: (a) new management will accelerate volume and revenue growth beyond current single-digit rates; (b) the dairy and cheese categories will generate incremental, margin-accretive revenue; and (c) rural distribution investment will drive sustained volume growth in lower-tier markets. Nomura projects an 11% EPS CAGR over FY26–28.

The bear case centres on the PEG ratio of ~8x, FII selling pressure (stake fell from 16.46% to 14.88% between December 2024 and December 2025), and the risk that new management may invest heavily in brand and distribution, compressing near-term margins. Technical indicators remain bearish on weekly and monthly timeframes, signalling that a re-rating may require several strong quarters of results.

7. Risk Analysis

7.1 Commodity & Input Cost Risk

Despite Q3 FY26 gross margin expansion, commodity risks remain material. Key inputs — wheat, palm oil, sugar, and cocoa — are globally traded and subject to weather, geopolitical, and supply-chain shocks. The benign wheat environment ahead of the March 2026 harvest season is providing temporary relief, but any reversal could pressure margins rapidly. Cocoa prices surged ~70% YoY in 2024–25, and though conditions have stabilised, structural supply deficits in West Africa remain a long-term concern for chocolate-based products.

7.2 Valuation & Multiple Contraction Risk

At 55–61x earnings, Britannia is priced for considerable growth expectations. If Q4 FY26 or FY27 earnings disappoint — due to demand weakness, pricing pressure, or elevated spend on brand building — a de-rating is plausible. FII selling is already a visible trend, and should domestic mutual funds begin trimming (having accumulated sharply), supply-demand dynamics in the stock could turn unfavourable.

7.3 Competitive Intensity & Pricing Pressure

ITC's Sunfeast platform is well-funded and aggressive. The GST-related price disruption in Q1–Q2 FY26 demonstrated the vulnerability of the biscuit category to competitive price behaviour. Should competitors choose to maintain lower price points at the expense of profitability, Britannia faces a choice between protecting market share (at the cost of margin) or protecting margin (at the risk of volume loss).

7.4 Management Transition Execution Risk

The arrival of a new MD & CEO (Rakshit Hargave) alongside a broad leadership rejig introduces transition risk. While brokerage consensus views the appointments positively, any strategic missteps or culture changes during the transition could create near-term operational disruptions. Investors will closely watch Hargave's first full year of results (FY27) for evidence of strategic continuity or pivot.

7.5 Dairy Category Execution Risk

The cheese and dairy ambition is well-articulated but operationally unproven at scale. The Maharashtra cheese plant (Bel SA JV, opened October 2024) is still in early commercial ramp-up. Competing with Amul's cooperative pricing advantages and Nestlé's global R&D in dairy is structurally challenging. Near-term margin contributions from dairy may be limited.

7.6 Regulatory Risk

India's FSSAI has been progressively tightening food safety, labelling, and health claim regulations. Any mandated reformulation, front-of-pack labelling requirements, or reclassification of product categories under GST could increase compliance costs or impact brand communication.

8. Strategic Outlook & Growth Drivers

8.1 New MD & Fresh Strategic Priorities

Rakshit Hargave's background in brand-led consumer companies (NIVEA, Domino's, Birla Opus) suggests Britannia's strategic focus under his leadership will centre on brand elevation, channel innovation, and category expansion — consistent with the company's articulated 'Total Foods Company' vision. His experience with quick-service restaurant supply chains (Jubilant FoodWorks) could also be valuable as Britannia expands its foodservice and out-of-home distribution.

8.2 Rural Market Penetration

Rural India represents the highest-growth opportunity for packaged food, and Britannia has been investing in direct distribution infrastructure. Rural FMCG growth has consistently outpaced urban markets, supported by government rural income schemes and rising aspirations. The Tiger brand (fortified, affordable) is the primary vehicle for deepening rural penetration. Nomura models high single-digit volume growth in FY27 as rural distribution matures.

8.3 GST Rate Rationalisation — Structural Tailwind

The GST rate rationalisation on biscuits, while disruptive in the short run (Q1–Q2 FY26), is expected to settle into a structural positive. Once price parity normalises across players (expected Q4 FY26), Britannia's Low-Unit-Pack portfolio — a key driver of entry-level consumption — should benefit from dual price-point reset, with both ₹5 and ₹10 packs offering higher grammage to consumers.

8.4 Dairy & Cheese Category Ramp-Up

The Maharashtra cheese manufacturing plant, opened in October 2024 through the Bel SA joint venture, is being positioned as the cornerstone of Britannia's premium dairy ambitions. The facility combines Bel Group's French cheese-making technology with Britannia's distribution strength. Commercial ramp-up is expected through FY27, with cheese potentially contributing meaningfully to dairy revenues within 2–3 years. Subhashis Basu's appointment as Chief Business Officer (Dairy) signals dedicated leadership focus on this segment.

8.5 Premiumisation & Product Innovation

Launches such as '50-50 Dipped' (chocolate-coated premium variant), 'Veg' cake variants, 'Doodh' Marie Gold, and the Treat Croissant line are targeted at the growing urban consumer appetite for indulgent, differentiated snacks. The Good Day, Bourbon, and NutriChoice platforms each have strong premiumisation potential. Puneet Das as the new CMO is expected to reinvigorate consumer-facing brand communication.

8.6 Digital & Operational Transformation

Britannia's partnership with Accenture for digital transformation — encompassing supply chain analytics, demand forecasting, and automation — is expected to reduce waste and improve margin visibility. AI-powered consumer engagement tools, including the NutriPlus health scoring app, reflect Britannia's intent to build direct-to-consumer relationships and leverage health and wellness positioning for the NutriChoice franchise.

9. ESG & Corporate Responsibility

9.1 Environmental

Britannia's sustainability vision is anchored in four pillars: minimising environmental footprint, responsible sourcing, food safety and quality, and community nutrition. The company is investing in renewable energy at manufacturing sites and advanced analytics to track and reduce emissions. Focused ESG spending aligns with its cost-optimisation agenda, ensuring that sustainability is not just ethical but commercially rational.

9.2 Social

Britannia has built a meaningful social presence through the NutriChoice NutriPlus app (personalised health tracking), the Marie Gold 'HerStore' digital marketplace for women entrepreneurs (over 2,500+ products and services listed), and nutrition programs targeting malnutrition in marginalised communities. Kincentric Best Employer recognition for five consecutive years (2019–2024), with a Top 10 ranking among all Indian companies in 2024, reflects strong talent practices.

9.3 Governance

The Wadia Group's 50.6% promoter stake with zero pledging is a best-in-class governance indicator in the Indian listed company context. The board includes independent directors with strong academic and public-sector credentials. Britannia complies with all SEBI LODR (Listing Obligations and Disclosure Requirements) obligations. The absence of any significant related-party transaction controversies in recent years adds to governance credibility.

10. SWOT Summary

Dimension	Key Findings
Strengths	34% biscuit market leadership; iconic brand portfolio; 130+ year heritage; 5M+ outlet reach; ROCE ~60%; zero promoter pledging; record Q3 FY26 margins; new high-calibre leadership team
Weaknesses	Revenue concentration in biscuits (80%+); elevated P/E (55–61x); FII selling trend; dairy still nascent; management transition risk; urban FMCG volume sensitivity
Opportunities	Rural market penetration; GST normalisation tailwind; dairy/cheese category build-out; premiumisation (Good Day, Bourbon, 50-50 Dipped); digital D2C; international expansion; health & wellness (NutriChoice)
Threats	Commodity volatility (wheat, cocoa, palm oil); ITC's aggressive Sunfeast expansion and IP litigation; de-rating risk at current valuations; new MD strategic pivot uncertainty; FSSAI regulatory tightening; Amul and Nestlé in dairy

11. Conclusion & Due Diligence Assessment

Britannia Industries Limited enters Q4 FY26 with meaningful operational momentum. Q3 FY26 delivered record quarterly revenues, a 450 basis point gross margin expansion, and 17% profit growth — figures that affirm the company's structural resilience despite a disruptive macro and competitive environment. The incoming leadership under Rakshit Hargave has been greeted positively by the market and brokerage community, who view the C-suite refresh as a catalyst for faster execution across brand building, distribution, and category diversification.

From a market perspective, however, the current price of ~₹5,500 and P/E of ~58x presents a nuanced picture. Analyst consensus is constructive (25 Buy vs. 2 Sell), with Nomura and Motilal Oswal setting targets of ₹7,150–7,275, implying 30–32% upside. But the technical setup is mixed: the stock is below its 50-day and 200-day moving averages, FIIs have reduced their stake by ~158 basis points over five quarters, and the MarketsMOJO downgrade to Sell in late March 2026 reflects near-term caution. Any meaningful re-rating likely requires sustained double-digit earnings growth across 2–3 consecutive quarters.

For long-term strategic investors, Britannia's fundamentals remain compelling: sector leadership, capital-light business model, exceptional ROCE, zero debt-stress, consistent dividends, and a professional management team now with fresh FMCG talent at the helm. The dairy opportunity, while nascent, represents a credible adjacency, and the GST tailwind could accelerate volume growth through FY27.

The primary due diligence concern is valuation — not business quality. Investors entering at current prices are pricing in a significant improvement in growth trajectory that has yet to be fully demonstrated under the new leadership. A position build-up strategy tied to quarterly earnings milestones or a price correction to the ₹4,800–5,000 range (where P/E moderates to ~48–50x) would present a more attractive risk-reward profile.

— End of Report —

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